



POLICYGUARD

AI Legal Risk Scanner for HR Policies
Indian Labour Law Compliance

HACKATHON	The Code of Law Challenge — Rhett Legal
TRACK	AI for Legal Governance (Open Innovation)
PARTICIPANT	Damini
SUBMISSION DATE	May 30-31, 2026
LIVE APP	policyguard-riskmanagementanalysis.streamlit.app
GITHUB	github.com/damiii-codes7/PolicyGuard

01 / PROBLEM STATEMENT

India has over 63 million Micro, Small, and Medium Enterprises (MSMEs) employing hundreds of millions of workers across diverse industries. Yet the vast majority of these businesses operate without dedicated legal teams or compliance officers.

Indian labour law is extensive and fragmented — spanning 10+ central acts, numerous state-level variations, and 4 newly consolidated Labour Codes enacted between 2019 and 2020. This complexity makes genuine compliance extremely difficult for growing businesses, particularly those in tier 2 and tier 3 cities where access to quality legal support is limited.

The consequences of non-compliance are serious:

01	Financial penalties and government fines
02	Employee disputes and wrongful termination claims
03	Regulatory inspections and enforcement action
04	Reputational damage affecting hiring and partnerships
05	Personal liability for directors and HR managers

Current solutions are inadequate: law firms are expensive, generic compliance checklists are imprecise, and enterprise software is inaccessible to small businesses. There is no simple, affordable, AI-powered tool that a non-lawyer business owner can use to instantly check if their HR policies are legally compliant.

PolicyGuard solves this gap.

02 / SOLUTION OVERVIEW

PolicyGuard is an AI-powered web application that allows any business to upload their HR or internal policy document and receive an instant, structured legal risk report — checked against 10 major Indian Labour Laws.

Core Value Proposition:

Upload your policy. Get your risks. Fix them before they cost you.

SIMPLE	Upload a PDF → Get a report. No login, no complex setup, no legal jargon.
SPECIFIC	Checks against specific sections of actual Indian laws — not generic advice.
ACTIONABLE	Every flagged issue comes with a suggested fix — not just a warning.
ACCESSIBLE	Free to use. Works on any device. No legal background required.
FAST	Full analysis in under 60 seconds. No waiting for a lawyer's appointment.

PolicyGuard is not a replacement for legal counsel — it is a first line of defence that makes compliance awareness accessible to every business, regardless of size or budget.

03 / HOW IT WORKS

User Journey:

STEP 01	User uploads HR/internal policy PDF through the web interface
STEP 02	pdfplumber extracts text from up to 15 pages of the document
STEP 03	Extracted text is combined with Indian Labour Law knowledge base
STEP 04	Combined prompt is sent to Llama 3.1 model via Groq API
STEP 05	AI analyses content and returns structured risk findings
STEP 06	App parses and displays colour-coded issues with severity scores
STEP 07	User downloads full risk report as a text file

Risk Severity Scoring:

■ HIGH	Direct violation of a mandatory legal provision. Immediate action required. Could result in penalties or legal action.
■ MEDIUM	Ambiguous or potentially non-compliant clause. Should be reviewed and clarified by legal counsel.
■ LOW	Minor gap or best-practice deviation. Low immediate risk but worth addressing.

04 / INDIAN LABOUR LAWS COVERED

PolicyGuard checks uploaded policies against the following 10 central Indian Labour Laws:

LAW	KEY PROVISIONS CHECKED
POSH Act 2013	ICC formation, written anti-harassment policy, annual awareness programs
Maternity Benefit Act 1961 (amended 2017)	26 weeks paid leave for first 2 children, creche facility (50+ employees), WFH option
Payment of Wages Act 1936	Payment by 7th/10th of month, no unauthorised deductions
Minimum Wages Act 1948	Wages not below state minimum, revision when government revises
Payment of Gratuity Act 1972	Mandatory after 5 years, formula: 15 days x years / 26
EPF Act 1952	Mandatory for 20+ employees, 12%+12% contribution structure
Industrial Disputes Act 1947 (Section 9A)	21 days notice before changing service conditions
Payment of Bonus Act 1965	Minimum 8.33%, maximum 20%, applicable up to Rs 21,000/month
Factories Act 1948	Max 48 hours/week, double rate for overtime, mandatory rest intervals
Code on Wages 2019	Equal pay for equal work regardless of gender, timely payment

05 / TECHNOLOGY STACK

PolicyGuard is built entirely on open-source technologies, in compliance with the hackathon's open innovation track requirements.

COMPONENT	TECHNOLOGY	LICENCE	PURPOSE
AI Model	Llama 3.1 8B (Meta)	Llama 3 Community	Legal analysis and risk identification
AI API	Groq API	Open (free tier)	Fast inference for open-source LLMs
Web Framework	Streamlit	Apache 2.0	UI and application logic
PDF Processing	pdfplumber	MIT	Text extraction from uploaded PDFs
Secret Management	python-dotenv	BSD	Secure API key handling
Deployment	Streamlit Cloud	Free tier	Live hosting from GitHub
Version Control	GitHub	Free	Code management and CI/CD

06 / REAL-WORLD IMPACT

PolicyGuard directly addresses the compliance gap faced by India's 63 million MSMEs — particularly in tier 2 and tier 3 cities where legal support is scarce and expensive.

Primary Target Users:

HR Managers	Review and update internal policies before audits
MSME Owners	Understand compliance obligations without hiring a lawyer
Startups	Ensure HR policies are compliant from day one
Law Firms	Quick preliminary scan before detailed manual review
Compliance Officers	Regular policy health checks across departments

Example Scenario:

A 50-person manufacturing startup in Coimbatore has an HR policy manual written 3 years ago. They upload it to PolicyGuard. Within 60 seconds, they discover:

- Their maternity leave clause still says 12 weeks — violating the 2017 amendment that mandates 26 weeks (HIGH RISK)
- No Internal Complaints Committee is mentioned anywhere — direct POSH Act violation (HIGH RISK)
- Overtime pay is described as 1.5x the regular rate — Factories Act requires 2x (MEDIUM RISK)

They fix all three issues before their next HR audit — avoiding potential penalties and employee grievances.

07 / EVALUATION CRITERIA ALIGNMENT

CRITERION	HOW POLICYGUARD ADDRESSES IT
Innovation & Problem Relevance	First AI tool specifically targeting Indian HR policy compliance. Addresses a real, underserved gap in the market.
Practical Utility in Real-World Legal Scenarios	Live, deployed application accessible at a public URL. Can be used by any business right now. Tested against real-world documents.
Effective Use of Open-Source Technologies	Built on Llama 3.1 (Meta's open-source LLM) via Groq, Streamlit (Apache 2.0), pdfplumber (MIT). Fully open-source.
Simplicity & Scalability	Single-page interface: upload → scan → report. Architecture can scale to support more laws, languages, and document types.

08 / FUTURE ROADMAP

PolicyGuard is designed as a foundation that can be expanded significantly:

PHASE 1 (0-3 months)	• Support for employment contracts, NDAs, service agreements • State-specific law variations (Tamil Nadu, Maharashtra, Karnataka) • Multilingual output (Tamil, Hindi)
PHASE 2 (3-6 months)	• Auto-generate compliant policy templates based on scan results • Regulatory change alerts when Indian labour laws are amended • PDF report with company branding
PHASE 3 (6-12 months)	• Integration with HRMS systems (Zoho, Darwinbox) • API for law firms and compliance platforms • Dashboard for tracking compliance over time
PHASE 4 (12+ months)	• Expand to other South Asian jurisdictions (Sri Lanka, Bangladesh) • Enterprise tier with audit trail and team collaboration • Fine-tuned legal LLM trained on Indian case law

09 / CONCLUSION

PolicyGuard demonstrates that AI can make legal compliance genuinely accessible — not just for large corporations with legal teams, but for every business in India, regardless of size or location.

By combining open-source AI (Llama 3.1), a curated Indian labour law knowledge base, and a simple upload-and-scan interface, PolicyGuard delivers real legal intelligence in under 60 seconds.

This project was built solo in 8 days — from zero to a live, deployed, functional legal-tech product. It reflects both technical execution and deep understanding of the Indian legal landscape.

The foundation is solid. The use cases are real. The impact is immediate.

POLICYGUARD
Legal compliance. Made accessible.

policyguard-riskmanagementanalysis.streamlit.app
github.com/damiii-codes7/PolicyGuard